

Motion for Preliminary Approval of Class Action

TENTATIVE RULING:

The motion for preliminary approval is GRANTED.

Overview of Preliminary Approval of Class Action and PAGA Settlement

Before granting final approval of class settlements, courts grant preliminary approval of the class settlement, grant conditional certification of the class, approve the forms and methods of class notice, and set a final hearing.

Class actions are authorized under Code Civ. Proc., § 382, whenever the question in a case is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court. Certification is a procedure by which the court determines whether a plaintiff is a proper class representative and the action can proceed to trial as a class action. To obtain class certification, the proposed class representative(s) must show (1) an ascertainable class of sufficient size as to justify class action treatment (“numerosity”) and (2) a well-defined community of interest in questions of fact and law. (*Vasquez v. Superior Court* (1971) 4 Cal.3d 800, 809.) The factors the court considers in determining the community of interest element are (1) the predominance of common issues, (2) the typicality of the claims of the proposed class members, and (3) the ability of the proposed class representative to adequately represent the class. (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.)

In determining whether a class settlement is fair, adequate and reasonable, the court considers relevant factors, including: (1) the strength of plaintiffs' case; (2) the risk, expense, complexity and likely duration of further litigation; (3) the risk of maintaining class action status through trial; (4) the amount offered in settlement; (5) the extent of discovery completed and the stage of the proceedings; (6) the experience and views of counsel; (7) the presence of a governmental participant; and (8) the reaction of the class members to the proposed settlement. The list of factors is not exclusive, and the court is free to engage in a balancing and weighing of factors depending on the circumstances of each case.

Although the court gives regard to what is otherwise a private consensual agreement between the parties, the court must also evaluate the proposed settlement agreement with the purpose of protecting the rights of the absent class members who will be bound by the settlement and to ensure the absence of fraud, overreaching or collusion between the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned. The court uniquely serves as the gatekeeper to protect the interests of the putative class and PAGA group.

The burden is on the proponent of the settlement to show that it is fair and reasonable. (See *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 244-45.)

Proposed Settlement

This is plaintiff's second effort to secure preliminary approval of a class and PAGA settlement. A prior motion was denied without prejudice on May 15, 2026, as lacking sufficient information.

The proposed class and representative action appear appropriate based upon size and numerosity and a well-defined community of interest with common issues and typical claims. The proposed representatives appear appropriate and share common claims.

This action alleging Labor Code violations involving wage and hour matters, failure to reimburse business expenses and unfair business practices was filed on December 4, 2024. A First-Amended Complaint was filed on March 24, 2025, to add a cause of action under the Private Attorneys General Act ("PAGA"). Defendant filed a response to the First-Amended Complaint on April 23, 2024, in which Defendant denied the allegations. Pursuant to stipulation, Plaintiff filed a Second-Amended Complaint (2AC) on April 8, 2026. The 2AC added a new representative and a new law firm. The parties stipulated Defendant's prior answer would apply.

The parties engaged in mediation with Michael Young, Esq., an experienced wage and hour class action mediator. Plaintiffs engaged expert Jerret Gorlik of Berger Consulting Group to perform a damages analysis.

Defendant PARTNERS PERSONNEL MANAGEMENT SERVICES, LLC. is a staffing agency. Defendant ORBIS RPM, LLC dba CORBI PLASTICS LLS is a corrugated and plastic packaging manufacturer. The 2AC relates to non-exempt workers directly employed by ORBIS or placed to work at ORBIS by PARTNERS PERSONNEL. Of the 73 employees, 27 employees were directly employed by ORBIS in California and 46 were placed by PARTNERS PERSONNEL at Orbis's locations in California in Modesto, Vacaville and Livermore.

Plaintiff seeks approval and certification of a class action and PAGA settlement for 73 putative class members in the gross amount of \$170,000 with an average individual settlement payment of \$891.55. The LWDA PAGA payment is \$6,500. Class members are defined as all persons employed in California as nonexempt employees by ORBIS or placed by PARTNERS PERSONNEL at ORBIS between December 4, 2020, through the date of filing of the 2AC on April 8, 2026. An escalator clause is included.

The Otkupman Law Firm filed a notice of appearance on May 21, 2026. The firm had filed a similar wage and hour action against Defendants in Stanislaus County on April 17, 2025, which will be dismissed upon approval of this settlement.

The court understands that Plaintiff has assessed a total best-case scenario of \$725,469 in liability. Moving papers reflect the following analysis:

	Reasonable Value of Claims	Discount Applied	Risk Reduced Exposure for Settlement Purposes After Discount
Failure to Pay Minimum and/or Overtime	\$92,472	75%	\$23,118
Meal Period Premiums	\$89,312	50%	\$44,656
Rest Period	\$89,312	50%	\$44,656
Wage Statement	\$175,150	75%	\$43,788
Business Expenses	\$6385	50%	\$3193
Pay Final Wages	\$171,295	75%	\$42,824
PAGA Penalty	\$82,650	85%	\$12,398

The moving papers further set forth counsel's methodology and analysis of each claim and reasoning behind the discount for each category of recovery. The gross settlement amount, which was a sum proposed by the mediator, reflects 88.4% of the estimated risk-reduced value.

Settlement Administrator

The fee of up to \$6,750 for Phoenix Class Action Administration is reasonable.

Incentive Payments

Incentive payments to class representatives "must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit." (*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1395.) The court must also consider the "risk to the class representative in commencing suit" and any "notoriety and personal difficulties" he or she encounters as a result of the litigation. (*Id.* at 1394.)

\$5,000 for each representative appears reasonable.

Attorney's Fees and Costs

As to attorneys' fees, calculations using 25%, 30% and 33% of the gross settlement should be included in the final approval moving papers. The court appreciates efforts of class counsel but also wants to ensure that members of the class actually receive benefits.

Costs will not exceed \$25,000.

Other Issues

The motion repeatedly represents that the class includes all persons employed through the date of final approval. The scope of the class is defined by the 2AC. New claims accruing after the filing of the 2AC cannot be included in this motion and are not before the court. Nor could new claims or new employees be added after Preliminary Approval that were not employed during the specific time period at issue.

The court understands that moving parties anticipate final approval hearing to occur 370 days after preliminary approval. The court reserves **September 30, 2027 at 9:00 a.m. for hearing on the Motion for Final Approval.**

RUSCHELL CALDWELL v. HYUNDAI MOTOR AMERICA **Case No. CU25-00008**

HYUNDAI's Motion to Compel Arbitration

TENTATIVE RULING

Defendant HYUNDAI MOTOR AMERICA ("HYUNDAI") moves to compel arbitration of Plaintiff RUSCHELL CALDWELL's claims for violation of the Song-Beverly Consumer Warranty Act pertaining to his 2022 Genesis GV70 (the "Vehicle"). HYUNDAI states that the Vehicle's owner's handbook contains an arbitration clause, as does the service agreement for the Genesis Connected Services ("GCS") service package in which it says Plaintiff enrolled the Vehicle.

Defendant's motion to compel arbitration is DENIED.

Legal Standard. A party to an arbitration agreement may petition the court to compel arbitration if it alleges the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate. (Code Civ. Proc., § 1281.2.) In ruling on a petition to compel arbitration, the trial court shall order parties to arbitrate if it determines that a valid agreement to arbitrate the controversy exists and the dispute between the parties falls within the scope of the agreement. (*Luxor Cabs, Inc. v. Applied Underwriters Captive Risk Assurance Co.* (2018) 30 Cal.App.5th 970, 977 (*Luxor Cabs*)). Arbitration should be compelled unless it can be said with assurance that the arbitration clause in question is not susceptible to an interpretation covering the asserted dispute. (*EFund Capital Partners v. Pless* (2007) 150 Cal.App.4th 1311, 1320-1321.) The party seeking arbitration bears the burden of proving the existence of an arbitration agreement by a preponderance of the evidence, and the party opposing arbitration bears the burden of proving by a preponderance of the evidence any defense. (*Ibid.*)